Optimum Communications

Raise 2026 BB Losses to 195k Despite Churn Focus and More Aggressive Offer Strategy

Underweight

OPTU, OPTU US
Price (06 Mar 26):$1.49

Telecom Services, Cable & Satellite

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Optimum reported mixed 4Q results: revenue and EBITDA were better, but residential broadband subscribers were weaker amid intense competition and elevated churn following the October price increase. While management plans to focus on churn reduction and base management in 2026 (including more aggressive pricing/packaging), we raise our 2026 residential broadband net loss outlook to 195k (from -180k) to reflect ramping competition (as fiber providers push penetration) and a softer gross add environment (due to fewer jump balls). We expect base management efforts and more aggressive offers to weigh on 2026 residential broadband ARPU. At the same time, we expect stepped-up investments in convergence/bundling and tough comps to pressure 2026 margins, and lower 2026 EBITDA to $3.31b (-0.6% y/y). On the call, management emphasized increased network investments to improve the customer experience, including additional fiber expansion and network upgrades (mid-splits on DOCSIS). As a result, we are raising our 2026 capex to $1.26b. We remain Underweight Altice shares given continued broadband subscriber losses in an intensifying competitive backdrop and declining EBITDA. We view OPTU's premium valuation of 8.0x 2027E EV/EBITDA vs. pure-play cable peers (CHTR at 5.7x and the Cox take-out multiple of 6.4x) as unwarranted and ultimately expect the capital structure to be restructured given current leverage of 7.6x.

- **Raise 2026 residential BB net losses to 195k.** We increase our 2026 residential BB net loss estimate to 195k (from -180k prior) to reflect footprint-wide competitive intensity (predominantly fiber), fewer "jump balls" given fewer moves and industry maturation, and lingering churn from the October price increase. Management emphasized a focus on churn reduction, more aggressive pricing/packaging, and simplified go-to-market efforts following "foundational" investments in 2025. We also expect Optimum to lean into convergence and its new video tiers to mitigate broadband churn. Following improved 4Q video trends, benefitting from the new video tiers, we reduce 2026 video net losses to 205k. Our 2026 wireless net adds of 180k remain unchanged, reflecting the increased emphasis on convergence.
- **2026 total revenue unchanged at $8.26b (−4% y/y).** We maintain our 2026 total company revenue at $8.26b (−4% y/y), reflecting a 6% y/y decline in residential revenue to $6.18b and business services revenue of $1.48b. In residential broadband, we expect base-management efforts and simplified pricing/packaging to weigh on ARPU; we model ~1% y/y ARPU growth to $76.30 in 2026. Lower ARPU and fewer subscribers drive 2026 residential broadband revenue to $3.40b (−4% y/y), 0.5% below our prior estimate. For video, we trim 2026 revenue by 1% to $2.33b due to lower ARPU, reflecting OPTU's convergence/bundling efforts and the sell-in of new lower-priced video tiers. Following strong 4Q business services revenue, fueled by Lightpath hyperscale growth, we raise 2026 segment revenue by 2% to $1.48b.
- **Lower 2026 EBITDA to $3.31b (-0.6% y/y) on lower margins.** While our

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	(0.17)	(0.32)	-82.3%
Adj. EPS - 27E ($)	(0.15)	(0.39)	-151.7%
FCFF - 26E ($ mn)	258	144	-44.2%
FCFF - 27E ($ mn)	290	162	-43.9%
Adj. EBITDA - 26E ($ mn)	3,329	3,315	-0.4%
Adj. EBITDA - 27E ($ mn)	3,296	3,248	-1.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	(0.16)	(0.08)	(0.09)
Q2	(0.21)	(0.12)	(0.13)
Q3	(3.47)	(0.13)	(0.15)
Q4	(0.15)	0.02	(0.02)
FY	(3.97)	(0.32)	(0.39)

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	97	18	15	4	52
Growth	91	96	57	69	6
Momentum	99	35	78	94	59
Quality	70	86	66	59	64
Low Vol	82	81	94	90	41
ESGQ	94	86	99	94	95

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	-9.7%	-9.2%	-19.0%	-40.9%
Rel	-8.2%	-6.4%	-17.1%	-58.3%

Company Data

Shares O/S (mn)	470
52-week range ($)	2.98-1.38
Market cap ($ mn)	699.98
Exchange rate	1.00
Free float (%)	92.7%
3M ADV (mn)	2.22
3M ADV ($ mn)	3.8
Volatility (90 Day)	61
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	2|12|5

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	8,590	8,258	7,920
Adj. EBIT	(113)	1,603	1,550
Adj. EBITDA	3,336	3,315	3,248
Adj. net income	(1,858)	(149)	(181)
Adj. EPS	(3.97)	(0.32)	(0.39)
BBG EPS	(3.77)	(0.39)	(0.48)
Cashflow from operations	1,228	1,409	1,364
FCFF	(119)	144	162
Margins and Growth			
Revenue Growth Y/Y (%)	(4.1%)	(3.9%)	(4.1%)
EBIT margin	(1.3%)	19.4%	19.6%
EBIT Growth Y/Y (%)	(106.7%)	(1524.2%)	(3.3%)
EBITDA margin	38.8%	40.1%	41.0%
EBITDA Growth Y/Y (%)	(2.3%)	(0.6%)	(2.0%)
Net margin	(21.6%)	(1.8%)	(2.3%)
Adj. EPS growth	1675.2%	(92.0%)	21.3%
Ratios			
Adj. tax rate	(5.0%)	(27.0%)	(27.0%)
Interest cover	1.9	1.9	1.8
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	7.6	7.6	7.7
ROE	135.2%	6.2%	6.9%
Valuation			
FCFF yield	(17.1%)	20.6%	23.2%
Dividend yield	-	-	-
EV/Revenue	3.0	3.1	3.2
EV/EBITDA	7.8	7.8	7.9
Adj. P/E	NM	NM	NM

Summary Investment Thesis and Valuation

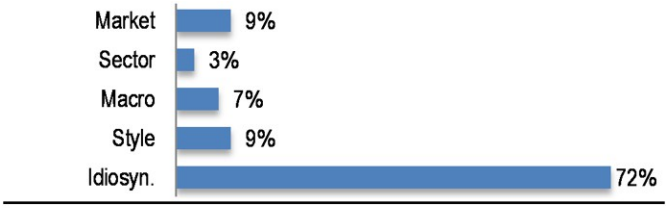
Investment Thesis

We remain Underweight Altice USA due to 1) the ongoing turnaround story as broadband trends remain pressured; 2) elevated competition in broadband (fiber and FWA); 3) elevated leverage of 7.6x exiting 2025; and 4) low likelihood of an acquisition in the near term.

Valuation

On an EV/EBITDA basis, shares currently trade at 8.0x our 2027E estimate.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.28	0.29
Sect: Telecom Services	-0.27	-0.16
Ind: Media	-0.27	-0.14
Macro:		
Non-Energy Commodity	0.16	0.22
Economic Surprise	0.30	0.14
US Dollar	0.25	0.12
Quant Styles:		
LowVol	-0.20	-0.28
Quality	-0.34	-0.24
DivYld	-0.04	-0.14

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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2026 revenue estimate is unchanged, we lower our 2026 EBITDA estimate by 0.4% to $3.31b (-0.6% y/y) on slightly lower margins (40.1% vs. 40.3% prior). The reduced margin reflects a step up in 2026 investment – more aggressive broadband pricing and packaging and tougher comps (lapping lower 2H25 marketing spend) – partly offset by ongoing efficiency and automation initiatives.

- **Raise 2026 capex to $1.26b and lower FCF to $144m.** Although Optimum did not provide 2026 capex guidance, CEO Dennis Mathew cited continued fiber expansion, targeted network upgrades (including mid-splits), and ongoing investments in technology and tools to improve the customer experience, enhance reliability, and drive efficiencies. Accordingly, we are raising our 2026 capex to $1.26b (from $1.21b previously). We now forecast 2026 FCF of $144m (down from $258m), reflecting lower EBITDA and higher capex.

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Figure 1: Optimum Communications 1Q26 and 2026 Estimate Changes

	1Q26E	1Q26E Prev	% Variance	2026E	2025	% Change	2026E-Prev	% Variance
Video net adds	(55)	(75)	-26.2%	(205)	(252)	-18.6%	(217)	-5.5%
Broadband net adds	(50)	(45)	11.1%	(195)	(189)	3.4%	(180)	8.3%
Voice net adds	(59)	(59)	0.0%	(193)	(228)	-15.0%	(193)	0.2%
Residential CR net adds	(55)	(50)	11.1%	(215)	(210)	2.2%	(198)	8.3%
Commercial CR net adds	(1)	(1)	0.0%	(2)	(7)	NM	(2)	0.0%
Wireless net adds	45	45	0.0%	180	163	10.5%	180	0.0%
Residential ARPU per CR	$134.39	$135.05	-0.5%	$133.55	$134.18	-0.5%	$133.53	0.0%
Residential Video ARPU	$125.65	$129.28	-2.8%	$127.56	$124.12	2.8%	$130.19	-2.0%
Residential Broadband ARPU	$76.82	$76.82	0.0%	$76.30	$75.35	1.3%	$76.34	-0.1%
Residential Voice ARPU	$19.63	$19.63	0.0%	$19.72	$18.40	7.2%	$19.58	0.7%
Programming and other direct costs	609	609	0.1%	2,370	2,637	-10.1%	2,350	0.9%
Other operating expenses	606	611	-0.8%	2,449	2,682	-8.7%	2,452	-0.1%
Restructuring and other	0	0	NM	0	1,687	-100.0%	0	NM
Stock-based comp	20	17	17.6%	80	64	24.8%	68	17.6%
Video	603	616	-2.0%	2,331	2,591	-10.0%	2,351	-0.9%
Broadband	873	876	-0.4%	3,401	3,542	-4.0%	3,419	-0.5%
Telephony	60	60	0.0%	222	254	-12.4%	222	0.1%
Mobile	51	49	4.9%	227	165	37.7%	216	5.0%
Residential revenue	1,587	1,600	-0.8%	6,181	6,551	-5.7%	6,208	-0.4%
Business services and wholesale	361	363	-0.5%	1,485	1,489	-0.3%	1,459	1.8%
News and advertising	103	103	0.0%	510	472	8.0%	506	0.7%
Other	19	19	0.0%	82	78	5.1%	83	-1.3%
Total Revenue	**2,070**	**2,085**	**-0.7%**	**8,258**	**8,590**	**-3.9%**	**8,257**	**0.0%**
Total Adj. EBITDA	**829**	**838**	**-1.1%**	**3,315**	**3,336**	**-0.6%**	**3,329**	**-0.4%**
Total Adj. EBITDA margins	40.0%	40.2%	(16)	40.1%	38.8%	131	40.3%	(17) bp
Operating income	400	411	-2.8%	1,603	(113)	-1524.2%	1,629	-1.6%
Net income	(38)	(18)	111.3%	(149)	(1,858)	-92.0%	(82)	82.7%
EPS	($0.08)	($0.04)	110.8%	($0.32)	($3.97)	-92.0%	($0.17)	82.3%
Capital expenditures	**313**	**305**	**2.5%**	**1,265**	**1,347**	**-6.1%**	**1,206**	**4.8%**
Free Cash Flow	**(16)**	**9**	**-266.8%**	**144**	**(119)**	**-221.3%**	**258**	**-44.2%**

Source: J.P. Morgan estimates, Company data.

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Figure 2: Optimum Communications 2027 Estimate Changes

	2027E	2026E	% Change	2027E-Prev	% Variance
Video net adds	(195)	(205)	-4.9%	(174)	12.4%
Broadband net adds	(175)	(195)	-10.3%	(150)	16.7%
Voice net adds	(164)	(193)	-15.0%	(164)	0.2%
Residential CR net adds	(193)	(215)	-10.3%	(165)	16.7%
Commercial CR net adds	(2)	(2)	0.0%	(2)	0.0%
Wireless net adds	180	180	0.0%	180	0.0%
Residential ARPU per CR	$133.77	$133.55	0.2%	$134.26	-0.4%
Residential Video ARPU	$132.66	$127.56	4.0%	$136.70	-3.0%
Residential Broadband ARPU	$77.44	$76.30	1.5%	$77.87	-0.5%
Residential Voice ARPU	$20.70	$19.72	5.0%	$20.55	0.7%
Programming and other direct costs	2,170	2,370	-8.4%	2,053	5.7%
Other operating expenses	2,327	2,449	-5.0%	2,446	-4.9%
Restructuring and other	0	0	NM	0	NM
Stock-based comp	80	80	0.0%	60	33.3%
Video	2,106	2,331	-9.7%	2,152	-2.2%
Broadband	3,280	3,401	-3.6%	3,333	-1.6%
Telephony	189	222	-14.9%	189	0.0%
Mobile	289	227	27.6%	275	5.1%
Residential revenue	5,864	6,181	-5.1%	5,950	-1.4%
Business services and wholesale	1,492	1,485	0.5%	1,466	1.8%
News and advertising	478	510	-6.2%	475	0.6%
Other	86	82	4.9%	87	-1.3%
Total Revenue	**7,920**	**8,258**	**-4.1%**	**7,978**	**-0.7%**
Total Adj. EBITDA	**3,248**	**3,315**	**-2.0%**	**3,296**	**-1.5%**
Total Adj. EBITDA margins	41.0%	40.1%	86	41.3%	(30) bp
Operating income	1,550	1,603	-3.3%	1,626	-4.7%
Net income	(181)	(149)	21.3%	(72)	152.3%
EPS	($0.39)	($0.32)	21.3%	($0.15)	151.7%
Capital expenditures	**1,202**	**1,265**	**-5.0%**	**1,155**	**4.0%**
Free Cash Flow	**162**	**144**	**12.7%**	**290**	**-43.9%**

Source: J.P. Morgan estimates, Company data.

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Figure 3: Optimum Communications 4Q25 Results vs. JPM Estimates

	4Q25	3Q25	% Change	4Q25-Prev	% Variance
Video net adds	(47)	(61)	-24.3%	(50)	-7.0%
Broadband net adds	(61)	(56)	8.4%	(50)	21.6%
Voice net adds	(52)	(55)	-5.9%	(51)	1.0%
Residential CR net adds	(65)	(59)	9.1%	(55)	17.8%
Commercial CR net adds	(2)	(2)	-16.7%	0	NM
Wireless net adds	38	38	0.3%	45	-15.3%
Residential ARPU per CR	$134.49	$133.28	0.9%	$132.40	1.6%
Residential Video ARPU	$125.02	$126.10	-0.9%	$125.63	-0.5%
Residential Broadband ARPU	$76.71	$74.65	2.8%	$74.64	2.8%
Residential Voice ARPU	$19.00	$18.38	3.4%	$18.90	0.5%
Programming and other direct costs	665	639	4.1%	628	5.8%
Other operating expenses	636	650	-2.2%	603	5.5%
Restructuring and other	31	1,568	-98.1%	0	NM
Stock-based comp	20	12	70.3%	17	20.3%
Video	619	645	-4.0%	622	-0.4%
Broadband	884	873	1.2%	861	2.6%
Telephony	61	62	-1.5%	61	0.5%
Mobile	48	42	13.5%	46	5.4%
Residential revenue	1,612	1,623	-0.6%	1,589	1.5%
Business services and wholesale	402	362	11.0%	369	8.8%
News and advertising	145	106	36.7%	142	2.1%
Other	24	18	35.5%	25	-4.4%
Total Revenue	**2,183**	**2,108**	**3.5%**	**2,125**	**2.7%**
Total Adj. EBITDA	**902**	**831**	**8.6%**	**868**	**3.9%**
Total Adj. EBITDA margins	41.3%	39.4%	193	40.9%	47 bp
Operating income	398	(1,165)	-134.1%	437	-9.1%
Net income	(71)	(1,626)	-95.6%	(13)	435.8%
EPS	($0.15)	($3.47)	-95.6%	($0.03)	434.6%
Capital expenditures	**282**	**326**	**-13.3%**	**233**	**21.0%**
Free Cash Flow	**199**	**(178)**	**-212.0%**	**237**	**-15.8%**

Source: J.P. Morgan estimates, Company data.

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Figure 4: ATUS Valuation Summary

	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	CAGR 24-30E
Residential Video Subscribers	1,628	1,423	1,228	1,063	918	793	688	603	538	483	438	-19.6%
% change, y/y	-13.4%	-12.6%	-13.7%	-13.4%	-13.6%	-13.6%	-13.2%	-12.3%	-10.8%	-10.2%	-9.3%	
Penetration of homes passed	33.1%	31.9%	30.7%	29.7%	28.7%	27.9%	27.1%	26.4%	25.7%	25.1%	24.6%	
Residential Broadband Subscribers	3,811	3,616	3,441	3,286	3,151	3,026	2,911	2,806	2,711	2,626	2,551	-6.5%
% change, y/y	-4.7%	-5.1%	-4.8%	-4.5%	-4.1%	-4.0%	-3.8%	-3.6%	-3.4%	-3.1%	-2.9%	
Penetration of homes passed	38.1%	35.6%	33.3%	31.4%	29.8%	28.3%	26.9%	25.6%	24.4%	23.4%	22.4%	
Residential Phone Subscribers	1,042	848	684	544	425	324	238	165	103	51	6	-57.9%
% change, y/y	-17.9%	-18.6%	-19.4%	-20.4%	-21.8%	-23.8%	-26.5%	-30.6%	-37.5%	-51.0%	-88.6%	
Penetration of homes passed	10.4%	8.3%	6.6%	5.2%	4.0%	3.0%	2.2%	1.5%	0.9%	0.5%	0.1%	
Residential Video revenue	2,591	2,331	2,106	1,892	1,701	1,527	1,374	1,245	1,144	1,064	997	-14.7%
% change, y/y	-10.6%	-10.0%	-9.7%	-10.2%	-10.1%	-10.2%	-10.0%	-9.4%	-8.1%	-7.0%	-6.2%	
Residential Broadband revenue	3,542	3,401	3,280	3,174	3,082	3,002	2,929	2,863	2,804	2,753	2,711	-4.4%
% change, y/y	-2.8%	-4.0%	-3.6%	-3.2%	-2.9%	-2.6%	-2.4%	-2.3%	-2.0%	-1.8%	-1.5%	
Residential Phone revenue	254	222	189	159	132	107	84	63	44	26	10	-41.8%
% change, y/y	-8.7%	-12.4%	-14.9%	-15.9%	-17.2%	-18.9%	-21.3%	-24.8%	-30.3%	-40.2%	-62.6%	
Residential Mobile revenue	165	227	289	351	410	469	527	584	640	696	750	28.8%
% change, y/y	40.6%	37.7%	27.6%	21.4%	16.9%	14.3%	12.3%	10.8%	9.6%	8.7%	7.8%	
Total Residential revenue	**6,551**	**6,181**	**5,864**	**5,576**	**5,325**	**5,105**	**4,914**	**4,755**	**4,632**	**4,539**	**4,468**	**-6.2%**
% change, y/y	-5.6%	-5.7%	-5.1%	-4.9%	-4.5%	-4.1%	-3.7%	-3.2%	-2.6%	-2.0%	-1.6%	
Business Services revenue	1,489	1,485	1,492	1,498	1,509	1,522	1,535	1,548	1,562	1,575	1,589	1.1%
% change, y/y	1.2%	-0.3%	0.5%	0.4%	0.7%	0.9%	0.9%	0.9%	0.9%	0.9%	0.9%	
Advertising revenue	472	510	478	500	481	505	486	511	492	516	497	0.9%
% change, y/y	-3.0%	8.0%	-6.2%	4.6%	-3.9%	5.1%	-3.8%	5.0%	-3.7%	4.9%	-3.6%	
Total revenue	**8,590**	**8,258**	**7,920**	**7,665**	**7,410**	**7,231**	**7,038**	**6,920**	**6,796**	**6,744**	**6,673**	**-4.1%**
% change, y/y	-4.1%	-3.9%	-4.1%	-3.2%	-3.3%	-2.4%	-2.7%	-1.7%	-1.8%	-0.8%	-1.1%	
EBITDA (operating cash flow)	**3,336**	**3,315**	**3,248**	**3,221**	**3,173**	**3,160**	**3,120**	**3,108**	**3,073**	**3,067**	**3,039**	**-1.5%**
% change, y/y	-2.3%	-0.6%	-2.0%	-0.8%	-1.5%	-0.4%	-1.3%	-0.4%	-1.1%	-0.2%	-0.9%	
EBITDA margin	38.8%	40.1%	41.0%	42.0%	42.8%	43.7%	44.3%	44.9%	45.2%	45.5%	45.5%	
Capital Expenditures	**1,347**	**1,265**	**1,202**	**1,152**	**1,050**	**947**	**879**	**855**	**831**	**817**	**800**	**-8.3%**
% change, y/y	-6.0%	-6.1%	-5.0%	-4.2%	-8.8%	-9.8%	-7.2%	-2.7%	-2.9%	-1.7%	-2.1%	
CAPEX/revenue	15.7%	15.3%	15.2%	15.0%	14.2%	13.1%	12.5%	12.4%	12.2%	12.1%	12.0%	
Free cash flow	**(119)**	**144**	**162**	**170**	**277**	**376**	**421**	**444**	**453**	**475**	**486**	**NM**
% change, y/y	-178.5%	-222.2%	12.7%	4.9%	62.5%	35.6%	12.0%	5.6%	2.0%	4.8%	2.3%	
Net Debt	25,290	25,146	24,983	24,813	24,536	24,161	23,740	23,296	22,843	22,367	21,881	
TTM Leverage	7.6x	7.6x	7.7x	7.7x	7.7x	7.6x	7.6x	7.5x	7.4x	7.3x	7.2x	
Taxes	(126)	(129)	(118)	(144)	(156)	(169)	(178)	(196)	(206)	(224)	(235)	
Implied tax rate	5%	27%	27%	27%	27%	27%	27%	27%	27%	27%	27%	
Reported EPS - Basic	($3.97)	($0.32)	($0.39)	($0.38)	($0.31)	($0.24)	($0.19)	($0.09)	($0.03)	$0.07	$0.13	NM
Reported EPS - Diluted	($3.97)	($0.32)	($0.39)	($0.38)	($0.31)	($0.24)	($0.19)	($0.09)	($0.03)	$0.07	$0.13	NM

Private Market Valuation Summary	2026E
NPV of Altice USA EBITDA	18,880
NPV of Altice USA taxes paid	(1,036)
NPV of Altice USA Capex	(5,867)
NPV of Altice USA free cash flow	11,977
NPV of Altice USA 2035 terminal value @ 3.3x EE	7,451
PMV of Altice USA	**19,428**
Less: non-ownership in Lightpath	(769)
Less: net debt, end of period	(25,146)
PMV -- Equity	**(6,487)**
Shares outstanding, end of period	470
Shares to be issued/warrants/options	
Fully diluted shares outstanding	470
PMV per share	**($13.81)**
Private to public discount	20%
Fair value per share	**($11.05)**
Total upside to current level	-841%

Valuation Multiples @	$1.49	2025	2026E	2027E	2028E	2029E
Current EV/EBITDA (EOY26 shares, debt)	**25,987**	7.8x	7.8x	8.0x	8.1x	8.2x
Current Price PER		NM	NM	NM	NM	NM
Current Price P/Taxed FCF		NM	4.9x	4.3x	4.1x	2.5x
Current EV/(EBITDA-Capex)		13.1x	12.7x	12.7x	12.6x	12.2x
Fair Value EV/EBITDA (EOY26 shares, debt)	**19,978**	6.0x	6.0x	6.2x	6.2x	6.3x
Fair Value PER		NM	NM	NM	NM	NM
Fair Value P/Taxed FCF		NM	(36.0x)	(32.0x)	(30.5x)	(18.7x)
Fair Value EV/(EBITDA-Capex)		10.0x	9.7x	9.8x	9.7x	9.4x

Altice USA Valuation Grid - Sensitivity to DCF per Share
Terminal Growth Rate (across) on 2035E FCF, Discount Rate (down)

	-2.0%	-1.5%	-1.0%	-0.5%	0.0%
8.0%	(9.22)	(8.43)	(7.55)	(6.57)	(5.46)
8.5%	(10.84)	(10.15)	(9.39)	(8.54)	(7.59)
9.0%	(12.32)	(11.71)	(11.05)	(10.31)	(9.49)
9.5%	(13.67)	(13.13)	(12.55)	(11.91)	(11.20)
10.0%	(14.91)	(14.44)	(13.92)	(13.36)	(12.74)

Valuation Based on P/E and FCF Multiples

	2025	2026E	2027E	2028E	2029E
Pro Forma EBITDA	3,336	3,315	3,248	3,221	3,173
EPS, diluted	($3.97)	($0.32)	($0.39)	($0.38)	($0.31)
Current consolidated P/E	-.4x	-4.7x	-3.9x	-3.9x	-4.8x
Free Cash Flow	(119)	144	162	170	277
FCF / diluted share	-$0.25	$0.31	$0.35	$0.36	$0.59
% change, y-t-y	-178.2%	-220.8%	12.7%	4.9%	62.5%
Current FCF yield	-17.1%	20.6%	23.2%	24.3%	39.6%
Current FCF multiple	(5.9x)	4.9x	4.3x	4.1x	2.5x
Fair value FCF yield	2.3%	-2.8%	-3.1%	-3.3%	-5.3%
Fair value FCF multiple	43.5x	(36.0x)	(32.0x)	(30.5x)	(18.7x)
Fully taxed FCF	(119)	144	162	170	277
FCF / diluted share	-$0.25	$0.31	$0.35	$0.36	$0.59
% change, y-t-y	-178.2%	-220.8%	12.7%	4.9%	62.5%
Current FCF yield	-17.1%	20.6%	23.2%	24.3%	39.6%
Current FCF multiple	(5.9x)	4.9x	4.3x	4.1x	2.5x
Fair value FCF yield	2.3%	-2.8%	-3.1%	-3.3%	-5.3%
Fair value FCF multiple	43.5x	(36.0x)	(32.0x)	(30.5x)	(18.7x)

Valuation Grid - year-end value per share
P/E Multiple on Earnings Per Share

	2025E		2026E
8.0x	NM	8.0x	NM
10.0x	NM	10.0x	NM
12.0x	NM	12.0x	NM
14.0x	NM	14.0x	NM
16.0x	NM	16.0x	NM

Valuation Grid - year-end value per share
Fully Taxed Free Cash Flow Multiple

	2026E		2026E
4.0x	1.23	4.0x	1.38
6.0x	1.84	6.0x	2.07
8.0x	2.45	8.0x	2.77
10.0x	3.07	10.0x	3.46
12.0x	3.68	12.0x	4.15

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Optimum Communications *(Underweight)*

Investment Thesis
We remain Underweight Altice USA due to 1) the ongoing turnaround story as broadband trends remain pressured; 2) elevated competition in broadband (fiber and FWA); 3) elevated leverage of 7.6x exiting 2025; and 4) low likelihood of an acquisition in the near term.

Valuation
On an EV/EBITDA basis, shares currently trade at 8.0x our 2027E estimate.

Risks to Rating
Upside risks include 1) improvement in broadband subscriber trends; 2) better EBITDA trends and margin expansion; and 3) potential M&A.

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Optimum Communications: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**8,954**	**8,590**	**8,258**	**7,920**	**-**
COGS	(2,897)	(2,637)	(2,370)	(2,170)	-
Gross profit	**6,058**	**5,953**	**5,888**	**5,750**	**-**
SG&A	(2,712)	(2,682)	(2,449)	(2,327)	-
Adj. EBITDA	**3,413**	**3,336**	**3,315**	**3,248**	**-**
D&A	(1,642)	(1,697)	(1,632)	(1,618)	-
Adj. EBIT	**1,680**	**(113)**	**1,603**	**1,550**	**-**
Net Interest	(1,763)	(1,791)	(1,772)	(1,761)	-
Adj. PBT	**(82)**	**(1,930)**	**(169)**	**(211)**	**-**
Tax	4	97	46	57	-
Minority Interest	(25)	(25)	(26)	(27)	-
Adj. Net Income	**(103)**	**(1,858)**	**(149)**	**(181)**	**-**
Reported EPS	(0.22)	(3.97)	(0.32)	(0.39)	-
Adj. EPS	**(0.22)**	**(3.97)**	**(0.32)**	**(0.39)**	**-**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	460	468	470	470	-

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	257	1,012	1,012	1,012	-
Accounts receivable	332	336	336	336	-
Inventories	-	-	-	-	-
Other current assets	142	297	297	297	-
Current assets	**731**	**1,645**	**1,645**	**1,645**	**-**
PP&E	8,415	8,351	8,284	8,167	-
LT investments	-	-	-	-	-
Other non current assets	22,556	20,708	20,408	20,108	-
Total assets	**31,701**	**30,704**	**30,337**	**29,920**	**-**
Short term borrowings	185	61	61	61	-
Payables	971	817	817	817	-
Other short term liabilities	1,098	1,173	1,173	1,173	-
Current liabilities	**2,255**	**2,051**	**2,051**	**2,051**	**-**
Long-term debt	24,872	26,145	26,001	25,839	-
Other long term liabilities	5,031	4,800	4,800	4,800	-
Total liabilities	**32,158**	**32,996**	**32,852**	**32,690**	**-**
Shareholders' equity	(457)	(2,292)	(2,515)	(2,770)	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**31,701**	**30,704**	**30,337**	**29,920**	**-**
BVPS	**(0.99)**	**(4.90)**	**(5.35)**	**(5.90)**	**-**
y/y Growth	*4.0%*	*393.3%*	*9.3%*	*10.1%*	-
Net debt/(cash)	24,839	25,290	25,146	24,983	-
Cash flow from operating activities	**1,582**	**1,228**	**1,409**	**1,364**	**-**
o/w Depreciation & amortization	1,642	1,697	1,632	1,618	-
o/w Changes in working capital	236	15	(5)	(5)	-
Cash flow from investing activities	**(1,456)**	**(1,294)**	**(1,265)**	**(1,202)**	**-**
o/w Capital expenditure	(1,433)	(1,347)	(1,265)	(1,202)	-
as % of sales	*16.0%*	*15.7%*	*15.3%*	*15.2%*	-
Cash flow from financing activities	**(172)**	**949**	**0**	**0**	**-**
o/w Dividends paid	0	0	0	0	-
o/w Net debt issued/(repaid)	(8)	1,274	0	0	-
Net change in cash	**(45)**	**884**	**144**	**162**	**-**
Adj. Free cash flow to firm	**149**	**(119)**	**144**	**162**	**-**
y/y Growth	*22.9%*	*(179.5%)*	*(221.3%)*	*12.7%*	-

Income Statement - Quarterly	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	**2,070**	**2,055**	**2,019**	**2,112**
COGS	(609)	(606)	(585)	(570)
Gross profit	**1,461**	**1,449**	**1,435**	**1,542**
SG&A	(606)	(620)	(608)	(615)
Adj. EBITDA	**829**	**800**	**795**	**891**
D&A	(409)	(408)	(408)	(407)
Adj. EBIT	**400**	**372**	**367**	**464**
Net Interest	(443)	(443)	(443)	(444)
Adj. PBT	**(43)**	**(71)**	**(76)**	**20**
Tax	12	19	20	(6)
Minority Interest	(7)	(7)	(7)	(7)
Adj. Net Income	**(38)**	**(58)**	**(62)**	**8**
Reported EPS	(0.08)	(0.12)	(0.13)	0.02
Adj. EPS	**(0.08)**	**(0.12)**	**(0.13)**	**0.02**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	470	470	470	470

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	67.7%	69.3%	71.3%	72.6%	-
EBITDA margin	38.1%	38.8%	40.1%	41.0%	-
EBIT margin	18.8%	(1.3%)	19.4%	19.6%	-
Net profit margin	(1.1%)	(21.6%)	(1.8%)	(2.3%)	-
ROE	23.1%	135.2%	6.2%	6.9%	-
ROA	(0.3%)	(6.0%)	(0.5%)	(0.6%)	-
ROCE	7.1%	(0.5%)	8.5%	8.4%	-
SG&A/Sales	30.3%	31.2%	29.7%	29.4%	-
Net debt/equity	NM	NM	NM	NM	-
P/E (x)	NM	NM	NM	NM	-
P/BV (x)	NM	NM	NM	NM	-
EV/EBITDA (x)	7.5	7.8	7.8	7.9	-
Dividend Yield	-	-	-	-	-
Sales/Assets (x)	0.3	0.3	0.3	0.3	-
Interest cover (x)	1.9	1.9	1.9	1.8	-
Operating leverage	92.1%	2625.2%	39333.7%	81.5%	-
Revenue y/y Growth	(3.1%)	(4.1%)	(3.9%)	(4.1%)	-
EBITDA y/y Growth	(5.4%)	(2.3%)	(0.6%)	(2.0%)	-
Tax rate	(4.9%)	(5.0%)	(27.0%)	(27.0%)	-
Adj. Net Income y/y Growth	(294.2%)	1705.7%	(92.0%)	21.3%	-
EPS y/y Growth	(292.2%)	1675.2%	(92.0%)	21.3%	-
DPS y/y Growth	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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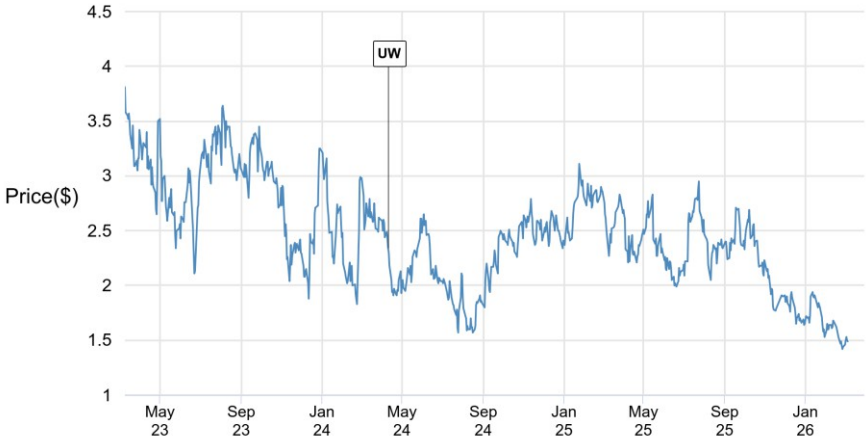
Optimum Communications (OPTU, OPTU US) Price Chart



Date	Rating	Price ($)	Price Target ($)
11-Apr-24	UW	2.34	--

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2017. All share prices are as of market close on the previous business day.

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